ASHOK LEYLAND LTD

NSE: ASHOKLEY · BSE: 500477 · Trucks, buses, LCVs, engines, defence, spares · Medium & heavy CV maker
Initiation of coverage · 19 October 2026 · prices as of 16-Oct-26 close

RATING	CMP (16-Oct-26)	12M TARGET (50:50 DCF / P/E)	PRICE UPSIDE / DIV. YIELD
HOLD model-based · medium conviction	**₹148.91**	**₹140**	**-6.0% / 2.4%**

Key data

Market cap (derived)	**₹87,468 cr**
Shares	**587.39 cr (FV ₹1)**
52-week high / low (price feed)	**₹211.92 / ₹135.84**
Price / book (derived)	**6.7x (BV ₹22.3)**
P/E trailing (FY26 EPS ₹6.07)	**24.5x**
RoNW FY26 (company basis)	**29.9%**
Dividend FY26 (₹/sh)	**₹3.50 (2.4% yield)**
Promoter / FPI / MF	**51.10% / 24.37% / 7.86%**
Net cash Mar-26 / Jun-26	**₹5,899 cr / ₹2,252 cr**
Credit rating	**CARE / ICRA AA+ Stable**
EV / FY28E EBITDA (ours)	**12.4x**

Business

Ashok Leyland sold a record 220,437 vehicles in FY26 (domestic M&HCV trucks 106,772 incl. defence, LCV 74,322, M&HCV buses 21,261, exports 18,082), with net sales ₹44,007 cr, EBITDA margin 13.0%, PAT ₹3,566 cr and net cash ₹5,899 cr (Mar-26). Other streams: spare parts (₹4,450 cr), engines (Power Solutions), defence, and subsidiaries in EVs (Switch, OHM) and vehicle finance (Hinduja Leyland Finance, Hinduja Housing Finance). Its domestic M&HCV share was 30.3% in the annual report (30.8% per the CEO on the Q4 call).

Investment view

- **Cycle is strong.** GST on CVs cut from 28% to 18% (Sep-25, prices down ~10%); industry CV sales FY26 10.79 lakh (+12.6%); AL Q1 FY27 volume 48,673 (record Q1); management guides FY27 M&HCV industry growth in the high single digits.
- **Margins are the debate.** Q1 FY27 EBITDA margin 10.1% (11.1% a year ago; 14.6% in Q4 FY26); material cost 71.5% of sales (+90 bps). Management expects commodity pressure to peak in Q2 FY27 and ease in Q3; cumulative price hikes ~2.25% (M&HCV) and >3.5% (LCV).
- **Balance sheet and returns.** Net cash, AA+ ratings, RoNW 29.9%, FY26 dividend ₹3.50/sh. Net cash swings with working capital (₹5,899 cr Mar-26 to ₹2,252 cr Jun-26).
- **Valuation.** DCF (cost of equity 13.6%, g 5%) ₹110 today / ₹124 in 12M; 20x our FY28E EPS ₹7.85 = ₹157; 50:50 blend ₹141, target ₹140. Motilal Oswal (14-Aug-26) is Buy at ₹198; we do not value the subsidiaries separately.

Catalysts

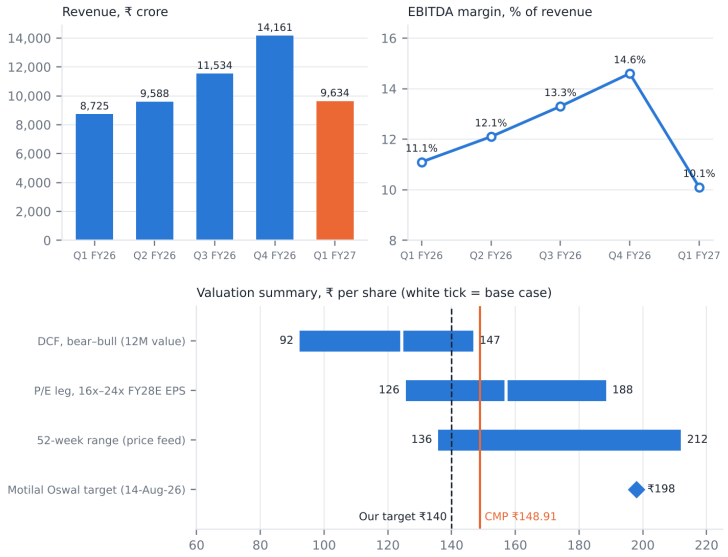
- Q2 FY27 results: management's expected margin trough; evidence of price-hike stickiness.
- Ramp-up of new HIPPO tractors / TAURUS tippers from Q2 FY27; heavy-truck mix recovery.
- HLF reverse merger (awaiting NCLT); Switch India targeting free-cash-flow positive in FY27.

Key risks

- Steel, aluminium, copper, rubber and PGM costs; diesel price and availability; rupee.
- GCC / Africa export disruption (RAK plant constrained in Apr–May 2026); cyclicality of CV demand.
- Capital needs of HLF, HHF and OHM; share loss in new-product segments.

Financial summary (FY24–FY26 reported, FY27E–29E our estimates)

₹ crore (standalone)	FY24	FY25	FY26	FY27E	FY28E	FY29E
Volume (thousand vehicles)	194.6	195.1	220.4	235.9	250.0	265.0
Net sales	38,367	38,753	44,007	48,265	52,695	57,533
Operating EBITDA	4,607	4,931	5,732	5,695	6,850	7,767
EBITDA margin	12.0%	12.7%	13.0%	11.8%	13.0%	13.5%
Net profit	2,618	3,303	3,566	3,774	4,612	5,272
EPS (₹, post-bonus)	4.46	5.62	6.07	6.42	7.85	8.98
P/E at CMP (x)	33.4	26.5	24.5	23.2	19.0	16.6
Dividend per share (₹)	2.48	3.13	3.50	3.53	4.32	4.94



Scenarios (our DCF)

Scenario (our DCF)	Bear	Base	Bull
Steady-state EBITDA margin	11.5%	13.5%	14.8%
FY31E net sales (₹ cr)	62,606	68,355	71,542
DCF value today (₹)	81	110	129
DCF 12M value (₹)	92	124	147

Latest results

Q1 FY27 (Jun-26, standalone)	Figure
Volume	48,673 (record Q1)
Net sales	₹9,634 cr (+10.4%)
EBITDA / margin	₹970 cr (flat) / 10.1%
Net profit	₹609 cr (+2.6%)
Brokers	MOSL Buy ₹198 (14-Aug-26); BP Equities "cautiously constructive" (no target)

Sources: Ashok Leyland annual reports FY24–FY26 and AGM transcript (14-Aug-25); Q1 FY26–Q1 FY27 earnings-call transcripts; Motilal Oswal (14-Aug-26) and BP Equities (18-Aug-26) reports; shareholding per FY26 annual report; price and 52-week range from the portfolio dashboard price feed. Market cap = price × 587.39 cr shares. Estimates, beta (1.15), target multiple (20x) and DCF inputs are our assumptions. AI-assisted analysis; not investment advice.